

Monetary Policy in the Dynamic Model

Pascal Michailat
<https://pascalmichailat.org/w/>

Example of dynamic Beveridge - Widvall model.

Dynamic model of slack.

✓ **divine** : inflation is exogenous so Fed only needs to reach full employment to maximize welfare.

✓ **Beveridge** : dynamic model has a Beveridge curve ($\sim$ AS)

$$u(\theta) = \frac{\lambda}{\lambda + f(\theta)}$$

✓ **Widvall** :

AD curve is determined/governed by nominal interest rate

$$y^d = \left[\frac{\overset{\text{discount rate}}{s - i} + \pi}{\underset{\text{MU wealth}}{\sigma'(\theta)}} \right] \frac{1}{[1 + \tau(\theta)]^{\epsilon - 1}}$$

$\epsilon \leftarrow$ slope of utility

↳ dynamic model is DBW model

↳ formula in sufficient statistics applies to model.

